

# Marvell Technology, Inc.

MRVL NASDAQ

|     |                  |                              |                                     |                         |
|-----|------------------|------------------------------|-------------------------------------|-------------------------|
| Buy | \$218.22 ▲ 3.65% | 12M Price Target<br>\$245.00 | 52-Week Range<br>\$61.44 – \$329.88 | Market Cap<br>\$195.86B |
|-----|------------------|------------------------------|-------------------------------------|-------------------------|

## MRVL: AI Custom Silicon Story Reignites on Peer Strength

### WHAT HAPPENED

- MRVL popped 3.65% to \$218, and honestly this looks like a sympathy rally off Astera Labs (ALAB) beating and guiding higher plus AMD's record quarter — both signal the AI infrastructure spend is still very much alive, and MRVL sells the custom chips + optical connectivity that feed that same beast.
- But watch this: volume was tiny today (4.3M vs 33M on the Aug 4 pop) — meaning the move up is on thin conviction, and the options market is flashing bearish with a put/call ratio of 1.83 (people are buying nearly 2 puts for every call, which is a hedge/fear signal).

### WHY IT MATTERS

Here's what's really going on: MRVL is trading like a call option on hyperscaler AI cap-ex. When AMD and Astera confirm the spend is accelerating, MRVL rips — but the heavy put buying at \$192.50 tells me smart money is hedging into MRVL's own earnings (likely late August/early September). That's the setup: bulls are riding peer momentum, but the pros are buying insurance because the stock has doubled off its 52-week low of \$61. The bigger picture — Trump's AI executive orders and the ongoing CHIPS Act implementation are structurally bullish for US-based fabless designers like MRVL, but the near-term risk is that expectations have gotten ahead of what they'll actually print.

### POLICY & POLITICAL WATCH

The key policy tailwind is the Trump administration's AI Action Plan and executive orders pushing domestic AI infrastructure buildout — MRVL benefits directly because they design custom silicon for US hyperscalers (Amazon Trainium, Microsoft Maia). The headwind to watch: expanded export controls on advanced chips to China, which the Commerce Department keeps tightening — MRVL has meaningful China exposure (~15% of revenue), so any new restriction on optical/networking chips going to Chinese data centers hits directly. Also on the radar: potential Section 232 tariff extensions on semiconductors — if Taiwan-made chips (where MRVL fabs at TSMC) get hit with tariffs, margins compress unless they can pass it through.

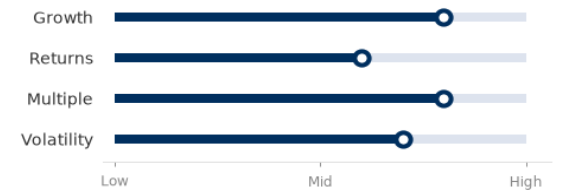
### IS IT EXPENSIVE?

At \$218 with a \$196B market cap, you're paying roughly 24x next year's revenue and ~77x forward earnings — that's expensive by any normal standard, but the market is pricing MRVL as an AI custom-silicon pure-play alongside Broadcom. For context, investors are paying \$24 for every \$1 of revenue the company will do next year, versus AVGO at ~18x and NVDA at ~22x. It's justified only if custom AI silicon revenue keeps compounding at 40%+ — if that growth rate slips even to 25%, the multiple compresses hard.

### Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$218.22  |
| 12M Price Target    | \$245.00  |
| Upside / (Downside) | +12.3%    |
| Market Cap          | \$195.86B |
| FY2027E Revenue     | \$8,200M  |
| FY2028E Revenue     | \$10,500M |
| FY2027E EPS         | \$2.85    |
| FY2028E EPS         | \$4.10    |
| Fwd P/E             | 76.5x     |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$240.00  | \$225.00  | \$195.00  |
| 6 Months  | \$275.00  | \$245.00  | \$180.00  |
| 1 Year    | \$320.00  | \$260.00  | \$165.00  |
| 2 Years   | \$400.00  | \$300.00  | \$150.00  |
| 5 Years   | \$600.00  | \$425.00  | \$175.00  |
| 10 Years  | \$900.00  | \$600.00  | \$200.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Semiconductors and AI infrastructure — Tech ETF up 7% in 5 days is a monster move, driven by AMD's record quarter, Astera's beat, and continuing hyperscaler cap-ex commitments. The Trump AI executive orders are structurally supportive.

**COOLING OFF:** Healthcare (-0.15%) and Real Estate are lagging — money is clearly rotating OUT of defensives and INTO growth/AI.

**ROTATION WATCH:** Capital is aggressively flowing into AI-levered semis and away from bond-proxy sectors. That's a classic risk-on rotation, and MRVL sits right in the sweet spot.

**RELATED PLAY:** If MRVL's custom silicon story keeps working, look at the picks-and-shovels layer — Astera Labs (ALAB) for connectivity, Credo (CRDO) for optical, and data center REITs like DLR that house all this compute.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The custom AI silicon leader — MRVL's most direct comp, and its strength validates the whole custom ASIC thesis.
- ALAB (Astera Labs): Just beat and guided higher — connectivity for AI racks, which is adjacent to MRVL's optical DSP business.
- AMD (Advanced Micro Devices): Record quarter confirms AI GPU demand isn't slowing.

**MRVL CONTEXT:** MRVL is lagging AVGO year-to-date but leading most other semi names off the lows. It's the "cheaper AVGO" trade — which means it's got more upside if it can prove out AI revenue, but also more downside if it disappoints because the story is less proven.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**CONVICTION:** 7/10 — Strong secular story with policy tailwinds, but the stock has run hard and earnings risk is elevated near-term.

**POSITION SIZE:** 3-5% of portfolio — the upside is real but the volatility (52-week range of \$61 to \$330!) tells you this thing swings hard.

**ENTRY POINTS:** I'd wait for pullbacks to \$195-205 rather than chasing here at \$218 — the heavy put activity suggests a dip is possible into earnings.

**TIME HORIZON:** 12-24 months — the catalyst you're waiting for is the next earnings print with AI revenue disclosure, then continued hyperscaler cap-ex confirmation into 2027.

**WHEN TO BAIL:** If they lose the Amazon Trainium socket, if AI revenue growth slows below 30%, or if China export controls specifically target their optical/DSP products.

**HEDGING:** Simplest hedge is to buy some downside protection with put options ahead of earnings, or pair MRVL with a short in a richer-multiple AI name so you're betting on MRVL specifically, not the whole AI trade.